Both the 8- *and* 12-year cycles point down into 1998. Notice that 1998 will be the first time in twenty-four years that the 8- and 12-year cycles will bottom together. The two prior times were 1974 and 1950 (1949), two of the most depressed lows of this century. With only three years remaining in the cycle, the losses should be severe; no stocks will be spared in the selloff that lies directly ahead. Accordingly, 1998 should mark a deep low for both blue chips and secondaries.

The irony, of course, is that market observers have taken the long bull market in broad stock indexes (see Chapter 8) as a sign that everything is safe and bullish in the stock market. A cyclic viewpoint yields the opposite conclusion. So does a study of relative valuation. As you can see by Figure B-13, the peak in 1983 marked a relative valuation for secondaries equivalent to that of 1928. After the drop into 1990, the 8-year cycle has brought the ratio back to a near-record relative valuation. From this perspective as well, there is a long way to fall.

THE 4-YEAR CYCLE

Though of only mild influence in 1986 and 1994, the 4-year cycle has remained the most reliable rhythm in stock prices, having been in continuous operation for four decades, since 1954. As with all cycles, each time it turns up, the stock market typically reaches a peak rate of change quickly, then spends the rest of the cycle in a state of momentum dissipation. From the cycle's latest bottom in late 1994, the 10-week rate of change on the NYSE index has registered its lowest peak in the 40-year history of the cycle, an exceptionally weak 7.2%. As a comparison, the overbought condition following the 1982 low was a very bullish 33.7%. The 24-week rate of change shows the same thing, as shown by this list of overbought levels achieved in the months immediately following the first ten 4-year cycle lows: 1954: **17.9%**; 1958: **17.5%**; 1962: **26.1%**; 1966: **24.2%**; 1970: **27.5%**; 1974: **38.2%**; 1978: **11.7%**; 1982: **39.2%**; 1986: **27.6%**; 1990: **25.1%**. Can you see a big difference in the early 1995 estimated figure of **14%** (based on trend extrapolation and "dropoff" figures), shown in Figure B-14? By these readings, this 4-year cycle has so far generated the second-weakest advance of any 4-year cycle upturn on record. The last time this cycle had approximately as weak an upturn was 1978, which led to four years of zero progress, and that was within a Cycle degree bull market. The current signal is almost certainly indicating the approach of a bear market.